

South Africa Strategy: What to buy when the Strait re-opens?

Our factor screen says buy Precious Metals, Retail & Financials

We launch our South Africa Strategy Factor Screen as we begin to position for a re-opening of the Strait. We have received healthy interest from investors on stocks to buy in South Africa when the Strait of Hormuz reopens. Our current JPM base case of the Strait's reopening in June, and positive news flow over the past few days, are reinforcing this idea and prompt us to engage the debate, notwithstanding our skepticism over an imminent resolution. We expect the SA Inc. theme to resume once the Strait opens, which will translate to stronger ToT (higher Gold/PGMs), a stronger ZAR and a broadening appeal for domestic equities as the marginal buyer (offshore investors) re-engage. To find pockets of value, **we use our multi-factor screen** across four key metrics and assign a score out of 10: **valuation** (relative to EM and 10-year average), **EPS momentum**, **Beta to EMFX/ZAR**, and stocks that have **lagged behind the JSE since 27 February** (see Tables 1 & 2). On the factor screen, we view stocks with a rating lower than 7 as unattractive, and would be biased toward those that score highly (rating of 7 and above). Examples of this (see Table 1) include GFI, ANG, IMP and VAL. Outside of Precious Metals, Retailers (PPH, MRP and TFG) score highly. Unsurprisingly, Financials appear too, with key names including NED, OMU, MMI and ABG screening well. Overall, stocks that rank low but we find attractive include FSR, CPI, DSY and CLS. Our instinct was that Retail stocks would appear prominently due to the steep sell-off and valuation gap since 27 February - and we were correct. Of all the names in the screen, we are most cautious on these names due to [the earnings headwinds we envisage in coming months](#). **We see Apparel as a short-term winner (1-2m at most) but remain constructive on Banks due to the fact that earnings are unlikely to disappoint/be cut and the sector remains liquid.** Nonetheless, as we stated in [our feedback note](#), we think positioning in this space is light, and we would express interest in the Apparel sector via PPH (diversified growth profile and Pep business defensive to Chinese e-commerce) and MRP (NKD priced in).

- **The Strait re-opening is now a key focal point for markets** — We are now in our 12th week of the war, and while visibility on a resolution remains uncertain, our commodities team sees the Strait opening in [June on the back of inventory depletion](#). Events over the weekend bolster the idea of an imminent deal, with Iranian top officials flying to Qatar and President Trump noting that a deal has ["largely been negotiated"](#). While we remain skeptical in CEEMEA Strategy over a deal that concludes in a few days (following a clear and credible announcement ratified and confirmed by both sides, such as a statement from the UN Security Council), we think the window is widening for us to begin to factor in a playbook for the re-opening of the Strait. While bottom-up drivers (oil, inflation, growth) will not immediately reflect this reality, equities would wish to narrow the gap in performance since 27 February. On oil, we revised our oil price forecast and now expect Brent prices to remain sticky in the low \$100/bbl even after the Strait reopening, eventually averaging \$96/bbl for 2026, as the bottleneck will shift from the physical chokepoint of the Strait to tanker availability and strong demand to rebuild inventories. This has resulted in our forecast of 50–75bps of hikes this year and a downgrade of growth to 1%

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from 1.2%.

- **Where are we most cautious on our screen?** Our hesitation mostly leans towards retailers, although we admit that the retail space has broadening entry points as risk reward skews to the upside due to the deep de-rating in recent months. On a +6m view, our preferred way to invest on the Strait re-opening would be via Miners (\$6000/oz gold price still our base case, while Diversifieds benefit from Alt. Energy & critical minerals drive) as well as Banks (best way to express SA Inc. exposure). [In our feedback note](#), we stressed that we are unconvinced this is the best way to position within SA Strategy. Miners & Financials are the best expression of this trade. Our Consumer and Strategy view that retail earnings are increasingly challenged, given the highly competitive environment for the discretionary wallet, was largely unchallenged. That being said, we think the space is open for healthy interest over the coming weeks given valuation & positioning gap – these names are not crowded.
- **Our methodology seeks to find stocks that will deliver enhanced returns on the back of the Strait's re-opening as EM high beta will be most preferred as the market begins to price in fading geo-political risks and lower oil prices in a 6-12m window.** We think stocks that: a) offer an attractive entry point via cheap valuations, b) have underperformed the JSE, c) deliver positive EPS momentum (insurance against value traps) and lastly, d) have high beta to EMFX – a key component for offshore investors will be most preferred. We use a score out of 10, with 30% of points attributed to valuations (discount to EM sector peers & 10yr historical valuations), 20% of points to 3m EPS momentum, 25% Beta to EMFX and lastly 25% on momentum reversal – or more simply stocks that have underperformed the benchmark since the start of Operation Epic Fury. Stocks with a score of 7ppts or higher screen most attractive in our view. While we would apply nuance (for example, looking through initial 2wk re-opening rally, DSY, FSR etc. are better stocks with higher quality than Apparel).

Table 1: JSE Mid to Large Cap Factor Screen - Buy Precious Metals, Retail & Banks according to our Factor screen

Name	GICS_INDUSTRY_NAME	Valuations - fwd PE		Earnings 3m EPS Mom.	Beta EM FX	Perf. Rel to ALSI Since 27 Feb	Attractive? Score out of 10
		Rel. to EM	Rel. to 10yr Avg				
Gold Fields	Metals & Mining	-28%	-46%	5.0%	6.2	-31%	10
Anglogold	Metals & Mining	-7%	-18%	1.2%	6.9	-27%	10
Impala	Metals & Mining	-54%	-76%	1.1%	8.7	-37%	10
Valterra	Metals & Mining	-5%	-33%	18.8%	7.3	-31%	10
Sibanye-Stillwater	Metals & Mining	-60%	-50%	13.5%	7.0	-33%	10
Northam Platinum Ltd	Metals & Mining	-26%	-72%	6.6%	6.4	-29%	10
Harmony Gold	Metals & Mining	-56%	-41%	-6.7%	7.3	-23%	8
Pepkor	Specialty Retail	-17%	-21%	-1.5%	3.6	-17%	8
Mr Price	Specialty Retail	-27%	-34%	-0.7%	3.5	-16%	8
Foschini	Specialty Retail	-53%	-48%	-6.7%	4.7	-34%	8
Truworths	Specialty Retail	-50%	-31%	-0.3%	4.1	-16%	8
Nedbank	Banks	-23%	-13%	-1.2%	2.9	-19%	8
Old Mutual	Insurance	-19%	-2%	-1.1%	3.4	-21%	8
Absa	Banks	-19%	-1%	-1.6%	3.6	-14%	8
Momentum	Insurance	-20%	-16%	7.3%	3.7	-9%	8
ABI InBev	Beverages	-2%	-3%	4.6%	3.2	6%	8
Sanlam	Insurance	10%	-22%	-8.3%	3.5	-20%	7
Remgro	Financial Services	-7%	3%	13.3%	2.8	-2%	6
Discovery	Insurance	63%	-1%	8.8%	2.8	3%	6
Firststrand	Financial Services	-5%	-8%	-14.7%	3.6	-10%	6
Woolworths	Broadline Retail	-5%	-7%	-5.3%	2.9	-8%	6
Clicks	Consumer Staples Distribution	-12%	-40%	-3.5%	2.8	-23%	6
Investec	Capital Markets	-20%	-7%	-0.1%	3.2	1%	6
Naspers	Broadline Retail	-35%	-44%	3.6%	2.2	-5%	5
Prosus	Broadline Retail	-27%	-48%	0.8%	2.2	-9%	5
MTN	Wireless Telecommunication Ser	-36%	-11%	15.5%	2.6	0%	5
Mondi	Paper & Forest Products	88%	30%	-42.9%	3.5	-14%	5
Growthpoint	Diversified REITs	4%	6%	-0.5%	3.2	-12%	5
Vodacom	Wireless Telecommunication Ser	-27%	-3%	2.5%	2.2	-7%	5
Tiger Brands	Food Products	-32%	-5%	0.6%	2.6	-11%	5
Exxaro Resources	Oil, Gas & Consumable Fuels	-40%	-1%	28.7%	1.3	4%	5
Sasol	Chemicals	-71%	-12%	69.1%	-1.1	51%	5
Standard Bank	Banks	8%	7%	0.7%	3.1	-2%	5
Investec	Capital Markets	-21%	11%	-0.1%	3.3	-1%	4
Bidvest	Industrial Conglomerates	65%	-13%	-1.6%	3.1	-6%	4
British American Tobacco	Tobacco	-26%	26%	1.3%	0.1	8%	4
Shoprite	Consumer Staples Distribution	-1%	0%	-2.4%	1.9	11%	3
Bid Corp	Consumer Staples Distribution	-18%	-22%	-0.5%	1.7	1%	3
Capitec	Banks	188%	19%	-0.5%	3.6	-7%	3
Redefine	Diversified REITs	7%	30%	0.0%	3.5	-10%	3
Outsurance	Insurance	119%	63%	-4.3%	3.0	-4%	3
Anglo American	Metals & Mining	193%	177%	-5.9%	4.8	6%	3
Richemont	Textiles, Apparel & Luxury Goo	48%	4%	-0.9%	4.3	0%	3
BHP Group	Metals & Mining	75%	48%	-1.0%	3.3	6%	3
Glencore	Metals & Mining	55%	19%	33.8%	1.8	10%	2
Nepi Rockcastle	Real Estate Management & Devel	9%	-5%	-2.1%	2.8	-4%	2
Aspen	Pharmaceuticals	-46%	2%	-7.4%	2.2	0%	2
Reinet	Capital Markets	58%	22%	0.0%	2.3	3%	0

Stocks with a score of 7 or higher screen well for short-term buy

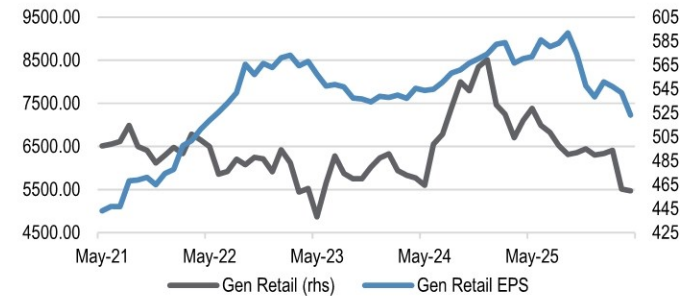
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Table 2: How we attributed scoring by weight

Factor	Weight	Max score	Rational
PE vs EM	15%	10	Cross-sectional cheapness to peer EM sector
PE vs 10yr avg	15%	10	Captures idiosyncratic dislocation versus the stock's own history.
3m EPS momentum	20%	10	EPS momentum is a buffer to stocks that are cheap & potential value traps
Beta to EMFX	25%	10	Targets sensitivity to EM FX normalization and rand recovery
Performance v ALSI	25%	10	Identifies stocks most oversold vs Benchmark

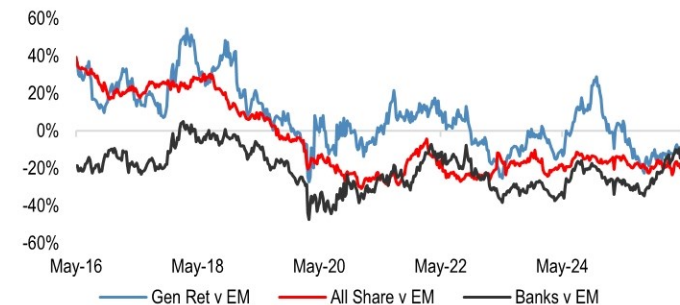
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 2: Gen. Retail may work for a short period but EPS compression is the risk



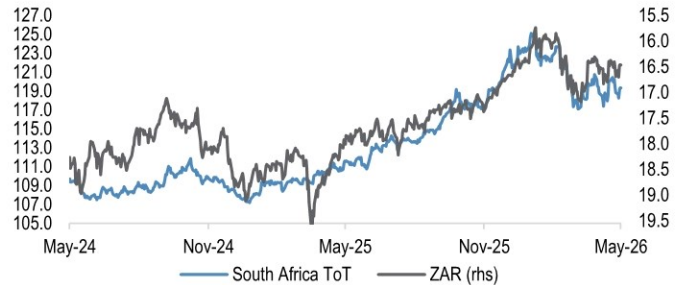
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 4: SA Domestic have de-rated vs EM broadening appeal for engagement to these names



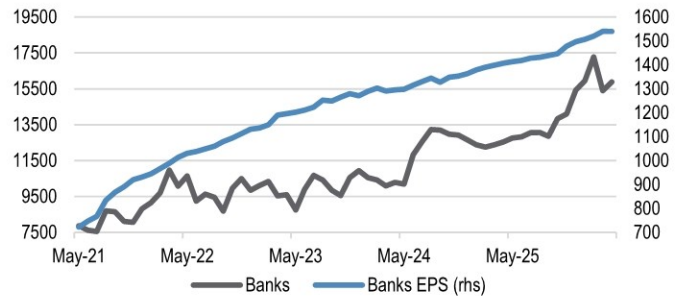
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 1: ToT will be accommodated by an uplift from commodities which in turn turns positive for ZAR



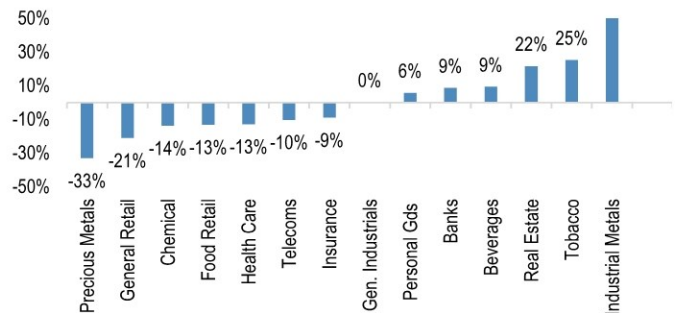
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 3: This is in contrast to banks which are large, liquid and offer robust earnings



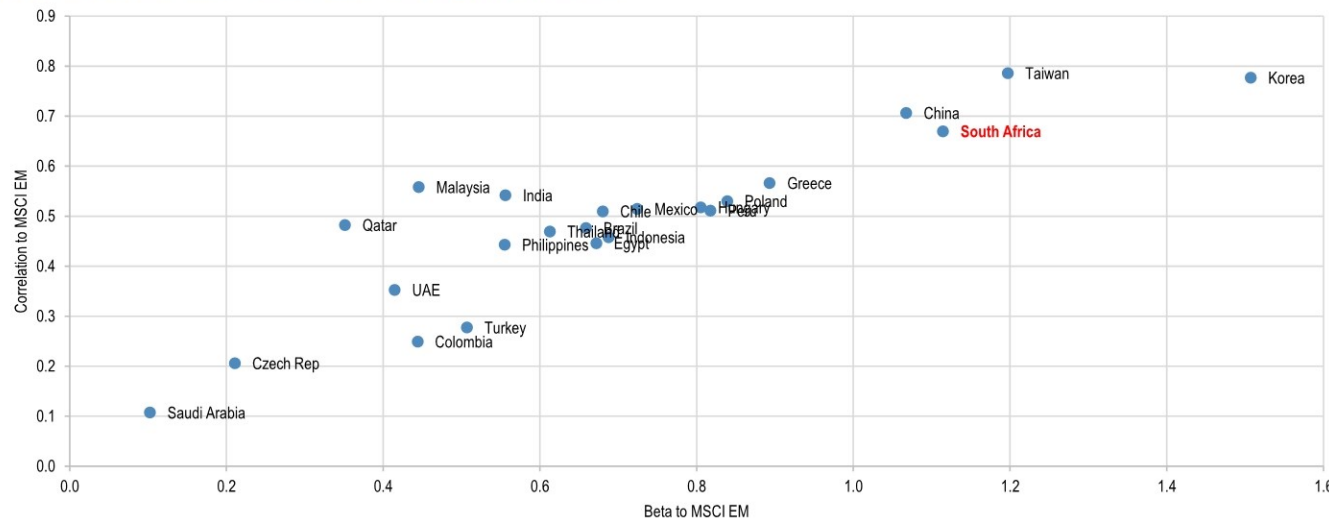
Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 5: Discount to 10yr fwd. PE for JSE sectors



Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

Figure 6: MSCI South Africa remains one of EM's highest beta markets



Source: J.P. Morgan Global Markets Strategy, Bloomberg Finance L.P.

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